

NON-COMPETITION AND CONFIDENTIALITY AGREEMENT

This Non-Competition and Confidentiality Agreement (this "Agreement") is made as of March 11, 2024, between Kestrel Freight Partners Inc., a New York corporation with its office and terminal located at 47 Rust Street, Maspeth, New York 11378 (the "Company"), and Anand Bhatt, an individual ("you" or "Employee").

RECITALS

The Company operates a freight brokerage and logistics business out of its Maspeth terminal, arranging truckload and less-than-truckload transportation for shippers throughout the New York metropolitan area, and maintaining relationships with a network of motor carriers that it dispatches on behalf of its customers.

The Company's ability to compete depends on keeping certain information confidential, including the rates it negotiates with customers and carriers, the lanes and freight volumes it moves, the identities and needs of its shipper customers, and the day-to-day dispatch and carrier relationships its operations staff maintain. This information is not generally known outside the Company and would be useful to a competitor if disclosed.

You are being employed, or continuing to be employed, as Operations Manager at the Maspeth terminal, a role in which you will oversee day-to-day dispatch, carrier coordination, and customer service operations, and in which you will have regular and direct access to the pricing, lane, and customer information described above.

The Company has built its customer relationships and goodwill in the local freight market at its own expense, over time, and it is willing to give you the position, pay, and access to its confidential business information described below only if you agree to the terms of this Agreement. You acknowledge that your access to this information is a direct result of your role with the Company and would not otherwise be available to you.

The Company and you agree that this Agreement is intended to be no broader than necessary to protect the Company's business at the Maspeth terminal. Given the modest size of the Company's local operation, the six-month duration and fifty-mile area described below are the outer limits of what the Company believes it needs, and both parties intend the restrictions in this Agreement to be read and applied accordingly.

CONSIDERATION

In exchange for your promises in this Agreement, the Company agrees to employ you, or to continue your employment, as Operations Manager, with the salary, benefits, and access to the Company's confidential business information that come with that role. You agree that this is good and valuable consideration for the promises you are making in this Agreement, and

that the Company would not have given you access to its pricing, lane, and customer information, or continued you in the Operations Manager role, without your agreement to the terms below.

DEFINITIONS

For purposes of this Agreement, the following terms have the meanings given below.

"Restricted Period" means the six (6) months immediately following the end of your employment with the Company, for any reason.

"Restricted Area" means the area within fifty (50) miles of the Company's terminal at 47 Rust Street, Maspeth, New York, measured in a straight line from that address.

"Competing Business" means a business that arranges, brokers, or dispatches truckload or less-than-truckload freight transportation in competition with the Company, including any freight brokerage, third-party logistics provider, or trucking company that performs that kind of work.

"Confidential Information" has the meaning given to it in the Company Secrets Section below.

COMPANY SECRETS

While you work for the Company, and after your employment ends for any reason, you agree to keep private everything you learn about the Company's business that isn't already public — things like who its customers are and what they buy, how the Company prices its work, its plans for new products or new markets, and how its internal systems and processes work. You will not tell anyone outside the Company about any of this, and you will not use it to benefit yourself or anyone other than the Company, unless your job requires it or the Company tells you in writing that it's all right to share it. When your employment ends, you agree to give back — or, if the Company asks, destroy — anything in your possession that contains this kind of information, including notes, files, drafts, and copies, in any format. Where any of this information also qualifies as a trade secret under applicable law, this promise continues for as long as it remains a trade secret, with no end date.

For the Operations Manager role specifically, this includes the customer pricing and lane information you will see in the Company's dispatch and billing systems, the carrier rates you negotiate or review, and the identities and requirements of the Company's shipper customers in the New York metropolitan area.

NON-COMPETITION

During the Restricted Period, you agree that you will not work for, or help run, a Competing Business within the Restricted Area, in a job that is basically the same as the job you did here — meaning dispatch, carrier coordination, or customer service operations work of the kind

you performed as Operations Manager.

This restriction is meant to be proportionate to your role. It does not stop you from working in freight brokerage or logistics outside the Restricted Area, and it does not stop you from taking a job with a competitor within the Restricted Area if the job does not involve dispatch, customer service, pricing, or carrier coordination work like the work you did for the Company. It also does not stop you from working in an unrelated industry anywhere, including within the Restricted Area.

You agree that, given your access to the Company's pricing, lane, and customer information as Operations Manager, this restriction is reasonable in how long it lasts and how far it reaches, and that it is no broader than the Company needs to protect its customer relationships, goodwill, and confidential business information at the Maspeth terminal.

RETURN OF COMPANY PROPERTY

When your employment ends, for any reason, or earlier if the Company asks, you agree to promptly return all Company property in your possession, including documents, files, records, computers, mobile devices, access cards, keys, and any other equipment or materials, along with all copies of any of it, in any format, and you agree not to keep copies, extracts, or summaries of any of it.

AT-WILL EMPLOYMENT

Your employment with the Company is at-will, meaning that either you or the Company may end the employment relationship at any time, with or without cause and with or without notice. Nothing in this Agreement changes your at-will status, guarantees you employment for any length of time, or creates any promise of continued employment.

ARBITRATION

Except for claims seeking injunctive or other equitable relief, any dispute arising out of or relating to this Agreement shall be resolved by binding arbitration administered by a neutral arbitrator in accordance with the commercial arbitration rules then in effect for the state whose law governs this Agreement, with the arbitration to be held in the county where the Company's office identified in this Agreement is located. The arbitrator's decision shall be final and binding, and judgment on the award may be entered in any court having jurisdiction.

FEDERAL LAW SAVINGS CLAUSE

If any federal rule or regulation restricting non-competition covenants applies to you and makes any restriction in this Agreement unenforceable, that restriction shall not apply to you to the extent required by that rule or regulation, and the rest of this Agreement shall remain in full force and effect.

SEVERABILITY

If any provision of this Agreement is held by a court of competent jurisdiction to be invalid, illegal, or unenforceable, that provision shall be struck from this Agreement, and the remaining provisions shall continue in full force and effect according to their terms.

If the non-competition restriction above, or any other restriction in this Agreement, is found by a court of competent jurisdiction to be broader than necessary to protect the Company's legitimate business interests, the Company and you intend that it be enforced to the extent the court deems reasonable, rather than thrown out entirely, and that this kind of partial enforcement will not affect the rest of this Agreement.

GOVERNING LAW

This Agreement shall be governed by, and construed in accordance with, the laws of the State of New York, without regard to its conflict-of-laws principles.

NOTICE

Any notice required or permitted under this Agreement shall be in writing and shall be deemed given when delivered personally, sent by overnight courier, or sent by certified mail, return receipt requested, to the address of the recipient last known to the sender.

ACKNOWLEDGMENT

You acknowledge that you have read this Agreement carefully, that you understand its terms, that you have had the opportunity to ask questions about it or to have it reviewed by an advisor of your choosing before signing, and that you are entering into it voluntarily in exchange for the consideration described above. You further acknowledge that the restrictions in this Agreement are limited to the specific role, geographic area, and time period described above, and that the Company has explained its reasons for asking you to agree to them.

SIGNATURES

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

KESTREL FREIGHT PARTNERS INC.

By: _____ Name: Marcus Delvecchio Title: General Manager
Date: March 11, 2024

EMPLOYEE

Anand Bhatt Title: Operations Manager Date: March
11, 2024